

Procurement and Value Analysis Policy

Tallowbrook Health | Supply Chain | 2024-03-01

Policy SC-100, Revision 5. Owner: Vice President, Supply Chain. Approved by the Chief Financial Officer. Effective March 1, 2024; supersedes Revision 4 (July 2023). Applies to all Tallowbrook Health departments and facilities.

1. Purpose

This policy sets out how Tallowbrook buys supplies, equipment and services: who may request and approve a purchase, when a contract must be used, and how new products are evaluated before they are added to inventory or purchased repeatedly.

2. Scope

The policy covers non-pharmacy purchases of supplies, minor equipment, purchased services and maintenance agreements. Pharmaceuticals follow the Pharmacy purchasing procedure. Capital projects follow the Capital Budget policy, and physician agreements, real estate leases and software licenses are managed by their owning departments.

3. Requisition to receipt

All purchases start as a requisition in the ERP. Supply Chain converts approved requisitions to purchase orders, and goods are received against the purchase order before invoices are paid. Most clinical supplies are delivered to the Stafford warehouse or directly to hospital docks.

No purchase may be committed verbally or by a supplier quote alone; a purchase order number is required before delivery.

Blanket orders may be set up for recurring services, with releases issued against the blanket.

Receipts must be entered within two business days of delivery so that invoices can be matched.

4. Approval limits

Approval authority is based on the total value of the purchase order, including freight and installation. Orders may not be split to stay under a limit.

Department director: up to \$10,000.

Vice president: up to \$100,000.

Chief Financial Officer: up to \$500,000.

Chief Executive Officer: above \$500,000.

5. Use of contracts

Where a group purchasing organization (GPO) agreement or a Tallowbrook local agreement covers an item, the contracted item and price must be used. GPO agreements usually run three years. Supply Chain negotiates local agreements where no GPO agreement fits.

Requests for an off-contract item must state why the contracted item is not suitable.

Sourcing managers review off-contract spend each quarter and identify items for contracting.

6. Value analysis

The Value Analysis Committee meets monthly and reviews requests for new products and conversions between products. Requests with more than \$25,000 in expected annual impact require a clinical sponsor and a cost analysis prepared with Supply Chain.

The committee may approve, approve for a trial period, defer for more information or decline.

Trials must have a defined end date and evaluation criteria.

Decisions are recorded in the committee minutes and communicated by the Manager, Contracting & Value Analysis.

7. Exceptions and emergencies

In an emergency affecting patient care or building safety, the house supervisor or administrator on call may authorize an immediate purchase. A requisition must be entered on the next business day and approved under Section 4.

8. Review

Supply Chain reviews this policy every two years or sooner if approval limits or systems change. Questions should be directed to the Supply Chain office.